# WARRANTY ATLAS · Alaska (AK)

Law last amended: 2024 (eff. 2024-10-27) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-11-02

Cites: AS 45.25.210; AS 45.25.200 (claims, audits); AS 45.25.020, 45.25.190 (forum)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Independent/retail time guide | § 45.25.210(c)(2) |
| **Mfr-backed service contract** | **Not reached** | - | § 45.25.990(23)(A), (C) |
| **CPO warranty** | **Not addressed** | - | § 45.25.990(23)(A) |
| **Independent service contract** | **Not reached** | - | § 45.25.990(23)(C) |

Hourly rate: Unless otherwise agreed, the rate may not be less than the rate the dealer charges retail customers for similar nonwarranty service work. The statute sets no labor-rate sample or formula (the 100-RO/90-day method in (d) covers parts markup only). The manufacturer may disapprove only if the rate is materially miscalculated or unreasonable compared with similarly situated AK dealers. ≤1 rate increase per calendar year.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Written or electronic notice stating the reasons for disapproval. A claim for a condition discovered and properly repaired during a separate repair may not be denied if the dealer documents the need. | AS 45.25.200(c); see (a), (b), (d) |
| **Payment** | 30 days after approval. Dealer filing deadline: within 90 days after the dealer completes the work. The dealer may correct and resubmit a disapproved claim within 30 days after receiving the disapproval notice. | |
| **Chargebacks** | 12 months; fraud: If the manufacturer reasonably suspects fraud, it may audit for fraud…. The audit must be initiated within 1 year after the claim was paid, and there may be no more than one warranty audit per calendar year. The statute limits audits and says nothing separately about chargebacks. | AS 45.25.200(e); see (g) |
| **Rate resubmission** | not more than one rate increase in a calendar year. Sample: No statutory labor-rate sample. Excluded: Discounted / promotional, Routine maintenance, Tires, Prep / reconditioning, Insurance-paid, Other (see text). | AS 45.25.210(c)(1); see (d), (f), (i), (j) |
| **Mfr response** | 30 days; no response = approved: Yes. Challenge: The rate is materially miscalculated, or unreasonable compared to other similarly situated new motor vehicle dealers in Alaska. Forum: Alaska courts, with venue in the dealer's judicial district (AS 45.25…. | AS 45.25.210(g); see (h) |
| **Penalties** | No express damages or fee-shifting provision for AS 45.25.010-.310. Disputes are heard in Alaska courts (45.25.020), with optional arbitration (45.25.190). The UTPA cross-reference, AS 45.50.471(b)(43), reaches only AS 45.25.400-.590 (dealer practices). None found. Ch. 45.25 has no manufacturer-licensing sanction. | AS 45.25.020, 45.25.190; AS 45.50.471(b)(43) |
| **Audit procedures** | Audit climate score 10/100 (Low restrictiveness; chargeback limits 7/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: No more than one warranty audit of paid claims pe…; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(AS 45.25.200(c); see (a), (b), (d)): "If a manufacturer does not disapprove a claim as required by this subsection, the claim is considered approved. The manufacturer shall pay the claim within 30 days after the approval of the claim."*
***Chargebacks*** *(AS 45.25.200(e); see (g)): "A manufacturer may not initiate or conduct an audit to determine the validity of paid claims for new motor vehicle dealer warranty work unless the manufacturer initiates the audit within one year after the payment of the claim."*
***Rate*** *(AS 45.25.210(c)(1); see (d), (f), (i), (j)): "Unless otherwise agreed to by the manufacturer and the new motor vehicle dealer, the schedule of compensation may not contain (1) rates less than the rates that the new motor vehicle dealer charges retail customers for similar nonwarranty service work"*
***Factory time*** *(§ 45.25.210(c)(2)): "Unless otherwise agreed to by the manufacturer and the new motor vehicle dealer, the schedule of compensation may not contain ... (2) time allowances less than time allowances provided in independent labor time guides."*

## Notes

Both floors in (c), the retail rate and the independent-labor-time-guide time, apply only 'unless otherwise agreed'. Manufacturers may not recover warranty costs through surcharges or fees (45.25.300(8)). The chapter's 'motor vehicle' excludes motor homes, recreational vehicles (incl. ATVs and snow machines) and motorcycles (45.25.990(12)). Current akleg print shows only the heading for 45.25.320 (repealed 2018). A separate incentive-audit window is in 45.25.200(f).

Source: official · https://www.akleg.gov/basis/statutes.asp?media=print&secStart=45.25.200&secEnd=45.25.320 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.